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| <b>Calendar Lines # 7-8</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Case Name</b> Jose Javier Luna-Robles vs Elizabeth Alejo                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Case No.</b> 24CV442503                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <p><b>Demurrer (Line # 7) &amp; Motion to Strike (Line # 8)</b><br/> Before the court is a (1) demurrer by Legacy Real Estate and Associates and Saundra Allman to second amended cross-complaint; and (2) Legacy Real Estate and Associates and Saundra Allman’s motion to strike portions of second amended cross-complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.</p> <p><b><u>I. BACKGROUND</u></b></p> <p><b>A. COMPLAINT</b></p> <p>In June of 2021, plaintiff Jose Javier Luna-Robles (“Plaintiff”) owned a residence located at 532 Monroe Street in Santa Clara (“Monroe Property”). (Complaint, ¶9). Plaintiff contacted defendant Elizabeth Alejo (“Alejo”) to refinance the existing loan secured by the Monroe Property. (<i>Id.</i>) Plaintiff wanted to lower his interest rate and to cash out some equity in order to purchase a second residential property to conduct his landscaping service business. (<i>Id.</i>). Plaintiff believed he could purchase another residence, rent the residence to one of his employees, and utilize the back yard of this residence for the operation of his landscaping service business. (<i>Id.</i>).</p> <p>Defendant Alejo advised Plaintiff that purchasing another residential property would be too expensive but told him she knew of a lot that was for sale. (Complaint, ¶10). Plaintiff met with defendant Alejo and the listing agent, Saundra Allman (“Allman”), of the lot for sale at 0 Dobbin Drive in San Jose (“Subject Property”). (<i>Id.</i>). During this visit, defendant Alejo translated all communications with Allman for Plaintiff whose primary language is Spanish although he does speak and understand some English. (<i>Id.</i>). This meeting occurred before Plaintiff made an offer to purchase the Subject Property on June 12, 2021. (<i>Id.</i>).</p> <p>At the time of this meeting, Plaintiff informed defendant Alejo of his interest in purchasing property to use in conducting his landscaping service business. (Complaint, ¶11). Plaintiff informed defendant Alejo that he needed property that would allow him, at a minimum, to store, operate, and access multiple vehicles, trailers, storage containers, and other machinery and equipment. (<i>Id.</i>).</p> <p>Prior to Plaintiff making an offer to purchase the Subject Property, defendant Alejo represented to Plaintiff that he could conduct his landscape servicing business on the Subject Property and that a permit from the City of San Jose was not needed for him to do so. (Complaint, ¶12). Defendant Alejo did not advise Plaintiff to investigate whether the Subject Property’s zoning would allow him to operate his landscape servicing business. (<i>Id.</i>). Defendant Alejo did not, at any time, conduct any investigation of the Subject Property or of Plaintiff’s anticipated use of the Subject Property. (<i>Id.</i>).</p> <p>Plaintiff understood defendant Alejo was representing him in the purchase of the Subject Property, not merely the refinancing of his Monroe Property. (Complaint, ¶13). All oral communications Plaintiff had with respect to the purchase of the Subject Property were with defendant Alejo. (<i>Id.</i>) The purchase agreement identifies defendants Firestone Financial Group (“FFG”) and Carrollson Harry Firestone Jr. (“Firestone”) as Plaintiff’s broker in the purchase of the Subject Property. (<i>Id.</i>). Defendant Alejo held her license to conduct mortgage loan originations with defendant FFG. (Complaint, ¶2). Defendant Alejo operated her mortgage brokerage business under the license issued to defendant Firestone. (Complaint, ¶4).</p> <p>Escrow on the purchase of the Subject Property closed on July 22, 2021. (Complaint, ¶15). At or around the same time, refinance of the Monroe Property was completed. (<i>Id.</i>).</p> |

The Subject Property is zoned light industrial and Plaintiff's anticipated use to facilitate his landscape servicing business was not allowed. (Complaint, ¶16). Plaintiff was unaware of this limitation on use before close of escrow. (*Id.*) Defendants did not investigate any issue regarding use of the Subject Property prior to close of escrow nor did defendants advise Plaintiff that he should investigate this issue prior to close of escrow. (*Id.*).

In October 2021, City of San Jose Code Enforcement Division notified Plaintiff he was in violation of the zoning for the Subject Property because he was operating a commercial corporation yard without a special use permit. (Complaint, ¶17). Plaintiff did not learn until September 2022 that even if a special use permit was obtained, the ability to utilize the Subject Property would be restricted due to setback requirements. (Complaint, ¶18). Plaintiff would not have purchased the Subject Property had he been advised of any of these issues and/or limitations with respect to his intended use of the Subject Property. (Complaint, ¶19).

On July 3, 2024, Plaintiff filed a complaint against defendants Alejo; Elizabeth Alejo Residential Mortgage Services, LLC ("Alejo RMS"); Firestone; and FFG asserting causes of action for:

- (1) Breach of Fiduciary Duty
- (2) Constructive Fraud
- (3) Intentional Misrepresentation
- (4) Negligent Misrepresentation

On October 2, 2024, defendants Alejo, Alejo RMS, Firestone, and FFG jointly filed an answer to Plaintiff's complaint and also filed a cross-complaint against, among others, cross-defendants Allman and Legacy Real Estate and Associates ("Legacy").

On March 4, 2025, defendants filed a first amended cross-complaint ("FAXC").

On May 5, 2025, cross-defendants Allman and Legacy filed a demurrer and motion to strike the FAXC.

In a November 4, 2025 minute order, the court (Hon. Deen) sustained cross-defendants Allman and Legacy's unopposed demurrer with leave to amend.

On November 19, 2025, defendants/ cross-complainants filed the now operative second amended cross-complaint ("SAXC").

## **B. SECOND AMENDED CROSS-COMPLAINT**

The SAXC alleges cross-defendant Jose Luis Jr. Rico ("Rico") owned the Subject Property. (SAXC, p. 3). Cross-defendants Allman and Legacy listed the Subject Property for sale on behalf of cross-defendant Rico. (*Id.*) Cross-defendant Rico completed real estate disclosure documents as part of the listing procedure in which he denied the "existence or pendency of any rent control, occupancy restrictions or retrofit requirements that apply or could affect the Property" or whether there existed "any past or present known material facts or other significant items affecting the value or desirability of the Property not otherwise disclosed to Buyer." (*Id.*).

In or about June 2021, defendant/ cross-complainant Alejo and Plaintiff visited the Subject Property on two occasions for visual inspections of the premises at which time it was noted that RV vehicles, trailers, and industrial equipment occupied the Subject Property. (SAXC, pp. 3 – 4). Cross-defendants' usage of the Subject Property impressed Plaintiff who also wanted to use the Subject Property to store vehicles, trailers, and equipment for his landscaping business. (SAXC, p. 4).

Cross-defendant Rico had actual knowledge of a San Jose Code Enforcement Complaint of the Subject Property opened on January 8, 2021. (SAXC, p. 4). Cross-defendants Allman and Legacy knew or should have known of the nonconforming use of the Subject Property through their interactions with cross-defendant Rico combined with their inspection of the Subject Property and their knowledge of similar properties in the locality. (*Id.*). No disclosures, either verbal or written, were made by any cross-defendants that cross-defendant Rico's use of the Subject Property was illegal or restricted in any manner. (*Id.*) Cross-defendants failed to disclose to cross-complainants the existence of the San Jose Code Enforcement Complaint and failed to advise cross-complainants that the visible use of the Subject Property by cross-defendants was illegal and under investigation by the City of San Jose. (SAXC, p. 5).

The SAXC asserts the following causes of action against cross-defendants Rico, Allman, and Legacy:

- (1) Fraudulent Concealment [against cross-defendant Rico]
- (2) Intentional Misrepresentation [against cross-defendant Rico]
- (3) Negligent Misrepresentation [against cross-defendant Rico]
- (4) Total Equitable Indemnity
- (5) Equitable Apportionment of Fault

On January 1, 2026, cross-defendants Allman and Legacy filed the two motions now before the court: (1) a demurrer to the fourth and fifth causes of action of defendants/ cross-complainants' SAXC; and (2) a motion to strike portions of defendants/ cross-complainants' SAXC.

## **II. LEGAL STANDARD**

### **A. DEMURRER**

Pursuant to Code of Civil Procedure section 430.10, a party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e)). A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 (*Hahn*)). When considering demurrers, courts accept all well pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078). In ruling on a demurrer, the Court treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)).

Generally, "indemnity refers to 'the obligation resting on one party to make good a loss or damage another party has incurred.' " (*Prince v. Pacific Gas & Electric Co.* (2009) 45 Cal.4th 1151, 1157 [90 Cal.Rptr.3d 732, 202 P.3d 1115] (*Prince*), quoting *Rossmoor Sanitation, Inc. v. Pylon, Inc.* (1975) 13 Cal.3d 622, 628 [119 Cal.Rptr. 449, 532 P.2d 97]). There are two basic types of indemnity: express indemnity, which relies on an express contract term providing for indemnification, and equitable indemnity, which embraces "traditional equitable indemnity" and implied contractual indemnity. (*Prince*, at pp. 1157–1159).

Traditional equitable indemnity and implied contractual indemnity share a key feature that distinguishes them from express indemnity: unlike express indemnity, ***neither traditional equitable indemnity nor implied contractual indemnity is available "in the absence of a joint legal obligation to the injured party."*** (*Id.* at pp. 1160–1161). Under this principle, " ' ***"there can be no indemnity without liability," ' "that is, the indemnitee and the indemnitor must share liability for the injury.*** (*Id.* at p. 1165, quoting *Children's Hospital v. Sedgwick* (1996) 45 Cal.App.4th 1780, 1787 [53 Cal.Rptr.2d 725]). ***Thus, no indemnity may be obtained from an entity that has no pertinent duty to the injured third party (Prince, supra, 45 Cal.4th at p. 1159), that is immune from liability (id. at pp. 1168–1169), or that has been found not to be responsible for the injury (Children's Hospital v. Sedgwick,***

*supra*, 45 Cal.App.4th at p. 1787). (*Jocer Enterprises, Inc. v. Price* (2010) 183 Cal.App.4th 559, 573-574; emphasis added).

## **B. MOTION TO STRIKE**

Under Code of Civil Procedure section 435, “Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof.” (Code Civ. Proc., § 435, subd. (b)(1)). Code of Civil Procedure section 436 provides:

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

(Code Civ. Proc., § 436). In ruling on a motion to strike, the court must assume the truth of the properly pleaded facts in the complaint or other pleading. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63).

## **III. ANALYSIS**

### **A. CROSS-DEFENDANTS ALLMAN AND LEGACY’S DEMURRER TO THE SAXC IS OVERRULED**

In demurring, cross-defendants Allman and Legacy contend their liability is premised on an allegation that they “should have known of the nonconforming use of the Subject Property.” Cross-defendants Allman and Legacy contend they have no such obligation as a matter of law. According to cross-defendants Allman and Legacy, “There are no allegations in the SACC that the seller’s agents knew about this non-conforming use and that the seller told the seller’s agents which in return hid this information from the buyer.” (See page 2, lines 19 – 22, of the Memorandum of Points and Authorities in Support of Legacy Real Estate and Associates and Sandra Allman’s Demurrer to Second Amended Cross-Complaint).

However, cross-defendants Allman and Legacy overlook the allegation at page 4, lines 23 – 26, where cross-complainants allege cross-defendants Allman and Legacy “*knew* or should have known of the nonconforming use of the Property through their interactions with Cross-Defendant RICO . . . , combined with their inspection of the Property and their knowledge of similar properties in the locality.” (emphasis added). The Court notes that Cross-defendant Allman and Legacy seemingly acknowledge this very allegation [of their knowledge] at page 4, lines 17 and 23, of their Memorandum of Points and Authorities in Support of Legacy Real Estate and Associates and Sandra Allman’s Demurrer to Second Amended Cross-Complaint, but then go on to focus on the balance of the allegation that they “should have known of the nonconforming use.”

A defendant’s knowledge is an averment of fact. Pleading alternative and inconsistent allegations is permissible.<sup>1</sup>

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<sup>1</sup> It is true that modern rules of pleading generally permit plaintiffs to “set forth alternative theories in varied and inconsistent counts.” (*Rader Co. v. Stone* (1986) 178 Cal.App.3d 10, 29 [223 Cal. Rptr. 806]; see *Mendoza v. Continental Sales Co., Inc.* (2006) 140 Cal.App.4th 1395, 1402 [45 Cal. Rptr. 3d 525] [“the modern practice allows that party to plead in the alternative and make inconsistent allegations”]). Thus, if a plaintiff was uncertain as to whether the parties had entered into an enforceable agreement, the plaintiff would be entitled to plead inconsistent claims predicated on both the existence and absence of such an agreement. (See *Rader Co. v. Stone, supra*, 178 Cal.App.3d at p. 29 [plaintiff “is not precluded by law from alleging in one cause of action the breach of a contract and an inconsistent theory of recovery in another cause of action”]). (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1388).

It is now settled in California that where the seller knows of facts materially affecting the value or desirability of the property which are known or accessible only to him and also knows that such facts are not known to, or within the reach of the diligent attention and observation of the buyer, the seller is under a duty to disclose them to the buyer. [Citations omitted]. Failure of the seller to fulfill such duty of disclosure constitutes actual fraud. [Citations omitted].

The real estate agent or broker representing the seller is a party to the business transaction. In most instances he has a personal interest in it and derives a profit from it. [Footnote omitted.] ***Where such agent or broker possesses, along with the seller, the requisite knowledge according to the foregoing decisions, whether he acquires it from, or independently of, his principal, he is under the same duty of disclosure.***

(*Lingsch v. Savage* (1963) 213 Cal.App.2d 729, 735 – 736; emphasis added).

Accordingly, cross-defendants Allman and Legacy's demurrer to the fourth and fifth causes of action of cross-complainants' SAXC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for total equitable indemnity and equitable apportionment of fault, respectively, is OVERRULED.

## **B. CROSS DEFENDANTS ALLMAN AND LEGACY'S MOTION TO STRIKE PORTIONS OF CROSS COMPLAINANTS' SAXC IS DENIED**

### *1. Actual Damages*

Cross-defendants move to strike cross-complainants' prayer for actual damages by citing *Fragale v. Faulkner* (2003) 110 Cal.App.4th 229, 236 where the court held:

Civil Code section 3343 provides the exclusive measure of damages for fraud in such cases. "One defrauded in the purchase, sale or exchange of property is entitled to recover the difference between the actual value of that with which the defrauded person parted and the actual value of that which he received . . .". (Civ. Code, § 3343, subd. (a)).

In opposition, cross-complainants contend the damages sought from cross-defendants Allman and Legacy are limited to the fourth and fifth causes of action for equitable indemnity/ apportionment of fault as those are the only two causes of action being asserted against Allman and Legacy. The court similarly views the prayer for actual damages as not being directed against cross-defendants Allman and Legacy.

For that reason, cross-defendants Allman and Legacy's motion to strike the prayer for actual damages is DENIED.

### *2. Punitive / Exemplary Damages*

Likewise, as cross-complainants note in their opposition, the SAXC seeks punitive/ exemplary damages limited to cross-defendant Rico only, not from cross-defendants Allman and Legacy. Based on that concession, cross-defendants Allman and Legacy's motion to strike the prayer for punitive damages is DENIED.

### *3. Declaratory Relief*

Finally, cross-defendants Allman and Legacy move to strike cross-complainants' prayer for declaratory relief as cross-complainants have not alleged any cause of action for declaratory relief. Although not cited by either party, "a cross-complaint for equitable indemnity properly takes the form . . . of an action for declaratory relief." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 285). Cross-complainants have not adopted that form here in the SAXC, but the court finds it unnecessary to elevate form over substance.

#### **IV. CONCLUSION**

Based on the foregoing, cross-defendants Allman and Legacy's demurrer to the fourth cause of action - total equitable indemnity and fifth causes of action -equitable apportionment of fault of cross-complainants' SAXC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for total equitable indemnity and equitable apportionment of fault, respectively, is OVERRULED.

Accordingly, cross-defendants Allman and Legacy's motion to strike the prayer for declaratory relief is DENIED.

The Court will provide the formal Order.

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| <b>Calendar Line # 9</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Case Name</b> Chung Bao vs Shih-Jen Lin et al                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Case No.</b> 25CV479927                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <p><b>Motion to Quash</b></p> <p>Before the court is specially appearing defendant Global Win Technology Co. Ltd.’s motion to quash service of summons for lack of personal jurisdiction. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.</p> <p><b><u>I. BACKGROUND</u></b></p> <p>Defendant Global Win Technology Company Limited (“GW”) was founded in 1992 in Taiwan by defendant Shih Jen (Andy) Lin (“Lin”) to design and manufacture fans and cooling systems for electronic devices. (Complaint, ¶12).</p> <p>Plaintiff Chung Bao (“Bao”) has been employed by defendant GW since 1996. (Complaint, ¶13).</p> <p>In 1997, plaintiff Bao moved to the United States to set up and operate defendant Acadia Technology, Inc. (“Acadia”), a wholly-owned subsidiary of defendant GW. (Complaint, ¶14). Defendant Acadia was created to operate as defendant GW’s United States office for sales and returns. (Complaint, ¶15).</p> <p>Defendants GW and Acadia are owned by defendant Lin. (Complaint, ¶14). Plaintiff Bao has no ownership interest or shares in defendant Acadia. (Complaint, ¶15). Despite the lack of ownership, plaintiff Bao loaned defendant Acadia \$393,359.21 for operating capital (“Loan”). (Complaint, ¶16). Defendant Lin told plaintiff Bao to operate defendant Acadia including funding it when necessary. (<i>Id.</i>) The Loan was for the benefit of defendants GW, Acadia, and Lin. (Complaint, ¶17).</p> <p>Neither defendants GW, Acadia, nor Lin have repaid the Loan to plaintiff Bao. (Complaint, ¶18). The Loan is due upon plaintiff Bao’s termination from the company. (Complaint, ¶19). Plaintiff Bao is still employed by defendant Acadia. (Complaint, ¶20).</p> <p>Defendants Lin and GW have demonstrated through communications with plaintiff Bao that they do not intend to repay plaintiff Bao for the Loan now or upon termination of his employment with defendants GW and Acadia. (Complaint, ¶21). Defendant Acadia’s current financial situation make it impossible for defendant Acadia to repay the Loan. (Complaint, ¶22).</p> <p>Plaintiff Bao has not received a salary from defendant GW or Acadia since 2020. (Complaint, ¶25). Unpaid wages owed to plaintiff Bao for the last four years amounts to \$33,911.76. (Complaint, ¶26).</p> <p>On November 12, 2025, plaintiff Bao filed a complaint against defendants GW, Lin, and Acadia asserting causes of action for:</p> <ol style="list-style-type: none"> <li>(1) Anticipatory Repudiation – Breach of Loan Agreement</li> <li>(2) Breach of the Employment Contract</li> <li>(3) Failure to Pay Wages in Violation of California Labor Code §204 and §1194</li> <li>(4) Unfair Competition in Violation of California Business &amp; Professions Code §17200 et seq.</li> <li>(5) Failure to Pay Minimum Wage, California Labor Code §§1194, 1197</li> </ol> <p>On January 2, 2026, defendant Acadia filed an answer to plaintiff Bao’s complaint.</p> <p>On April 21, 2026, specially appearing defendant GW filed the motion now before the court, a motion to quash service of summons for lack of personal jurisdiction.</p> |